

Fractal Analytics

AI-led Enterprise Transformer

03 April 2026



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Fractal Analytics

Technology

Enterprise DAAI transformation driving scalable intelligence

Fractal Analytics is a global provider of artificial intelligence, data and analytics solutions with over two decades of experience, evolving into a full-stack enterprise DAAI transformation partner. The Company delivers end-to-end capabilities across strategy, data engineering, AI/ML development and deployment, serving diversified verticals including CPGR, TMT, HLS and BFSI. It caters to Fortune 500 clients with long-standing relationships and deep system integration, enabling higher monetization per client. Fractal's "decision-backwards" approach emphasizes business outcomes, while its platform-led strategy through Cogentiq supports scalable, productized AI solutions aligned with growing enterprise AI adoption.

Diversified Vertical Exposure with End-to-End DAAI Capabilities

Fractal operates across a diversified vertical mix spanning CPGR, TMT, HLS, and BFSI, with no single anchor vertical, reducing exposure to sectoral cyclicality. These verticals contribute an annual run rate of ~USD340 million, supported by strong AI-led enterprise demand. Horizontally, Fractal delivers end-to-end DAAI capabilities across the value chain, enabling value capture across multiple engagement stages, driving scalability, deeper client penetration, and sustained long-term growth across industries and geographies.

Platform Buildout with Experienced Leadership Scale-Up

Fractal's platform ecosystem, including Cogentiq and related solutions, has largely been built through acquisitions such as Asper.ai and Senseforth. While these platforms strengthen long-term capabilities, their current revenue contribution remains modest at <3%, with monetization still evolving. The Company's management team, with an average tenure of ~11 years, brings strong continuity and execution depth. This experienced leadership is well positioned to scale platform adoption, improve commercialization, and drive the transition from a services-led model toward more scalable, platform-driven growth.

Financial Summary

Y/E Mar (INR Crs.)	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)
Revenue	1,985	2,196	2,765	3,212	3,564	4,197	4,977
EBITDA	-116	73	350	465	501	634	836
EBITDA %	-6%	3%	13%	14%	14%	15%	17%
Adjusted PAT	-330	-49	194	189	228	325	472
P/E (x)	N/A	N/A	71.0	72.6	60.3	42.3	29.1
P/S (x)	6.9	6.3	5.0	4.3	3.9	3.3	2.8
EV/ EBITDA (x)	N/A	N/A	40.6	30.5	28.3	22.4	17.0
ROE	-24%	-3%	11%	6%	7%	9%	12%
ROIC	-27%	-4%	15%	13%	16%	21%	28%

Client-Centric Strategy with Talent-Led Capability Building

Fractal's client strategy is centered on "Must Win Clients" (MWC), focusing on large enterprises with high monetization potential. Historically, over 80% of revenues have been derived from such clients, enabling higher revenue per client (~INR19 Cr in FY25) and significantly higher contribution per client relative to peers. Monetization from the top 10 clients stands at ~INR145 Cr, reflecting deep integration and long-term relationships spanning 2–9 years. However, this approach also results in relatively higher client concentration, with the top 10 clients contributing ~54% of revenue.

On the employee front, Fractal has made significant investments in talent, with employee costs accounting for ~72% of revenue in FY25, following a peak of ~84% in FY22. Despite higher costs, ESOP-led incentives (granted to over 90% of employees) and strong retention practices have helped maintain workforce stability, positioning the Company to capitalize on the expanding AI services opportunity.

Poised for High-Value AI Services Expansion

Fractal plays a critical role in the ongoing AI transition, particularly within the services layer of the ecosystem. As enterprises move from infrastructure-led investments toward AI deployment and integration, Fractal is well positioned in high-value areas such as AI/ML use-case development, advanced analytics, and decision intelligence. While large IT services firms dominate large-scale integration, Fractal benefits from its depth in domain-led problem solving. This positions the Company to capture a meaningful share of the growing AI services opportunity as adoption scales.

Valuation

Fractal trades at a premium valuation, with a trailing P/E of 65.1x, reflecting its strong positioning in the high-growth AI and analytics space. While elevated relative to traditional IT services peers, these multiples are supported by its superior growth trajectory and expanding role in the AI services value chain. Based on FY29(E) EPS of 27.3, earnings visibility provides medium-term comfort.

At the current market price of INR 795, the stock offers a potential upside of ~99% with a FY29(E) P/E of 57.7x, to the target price of INR 1,578, driven by revenue growth, margin expansion as employee costs normalizes, and improving capital efficiency from platform scale-up.

Key Risks

Key downside risks: 1) Execution risk in AI-led transition, 2) Platform monetization risk, 3) Elevated employee costs and near-term increase in cloud and infrastructure expenses, 4) High dependence on large "must win clients" and moderation in NRR, 5) Challenges in monetizing acquisition-led investments, particularly in platform businesses, 6) Shift toward outcome-based pricing models may reduce revenue visibility.

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Investment Rationale

Specialized Capabilities Across Defined Verticals

Fractal has deliverables across defined verticals with focus on expanding each of the those by not tying up to an anchor vertical. Fractal caters to four broad segments - consumer packaged goods & retail (CPGR), technology, media and telecom (TMT), healthcare and life sciences (HLS) and banking, financial services and insurance (BFSI). The diversified segments add up an annual run rate of ~USD340m for FY26(E).

Consumer Packaged Goods & Retail: Key developments on the CPGR vertical are increased investments by CPG brands on to the focus on D2C selling, emerging small and mid-sized brands and growing demand for hyper-personalized consumer experience. Many emerging digitally native brands sell exclusively through online channels. This shift demands a strong DAAI strategy, with enhanced data, analytics, AI, and Gen AI, to identify customer needs and design personalized campaigns.

In 2021, Fractal acquired Asper.ai, with an intention to develop an enterprise growth AI platform, bringing AI-first SaaS to help CPG companies with revenue growth management. Asper supports CPG brands to manage revenue growth by using AI for sales and distribution, pricing and promotions, demand planning and inventory management. Asper has filed for 18 patents for its AI approaches across the US and India and received six patent approvals.

Currently, Fractal works with 10 of the top 20 CPG companies globally. Mrunali Nikunj Majmudar, who has been associated with Fractal for 11 years, is the chief practice officer – CPGR. Prior to joining Fractal, she has been associated with Procter & Gamble Hygiene and Health Care Ltd. and Marico Limited.

Technology, Media and Telecom: Major breakthrough in the TMT vertical are from high consumption of content, growing investments in AR/VR and metaverse technology and rising global telecom traffic and the need to self-optimize networks. Enterprises are increasingly using analytics and Gen AI tools to understand consumption patterns and preferences, ensuring relevant recommendations and content creation.

Currently, Fractal works with 8 of the top 20 TMT companies globally. Sankaranarayanan Balasubramanian, who has been associated with Fractal for 20 years, is the chief practice officer – TMT. He has been instrumental in evolving the TMT vertical within Fractal.

Healthcare and Life Sciences: The growth drivers to the HLS vertical are tapped through rising importance of connected value-based care (VBC), focus on proactive healthcare, need for faster clinical trials and pharmacovigilance and evolving regulatory landscape in AI-led medical writing. Gen AI, along with population health analytics, health information exchange, and claims analytics, helps identify care gaps, optimize resource allocation, and proactively engage patients in preventive treatments.

Fractal has invested in Qure.ai platform since 2017 with an intention to make healthcare more accessible. Qure.ai specializes in providing end-to-end digitized

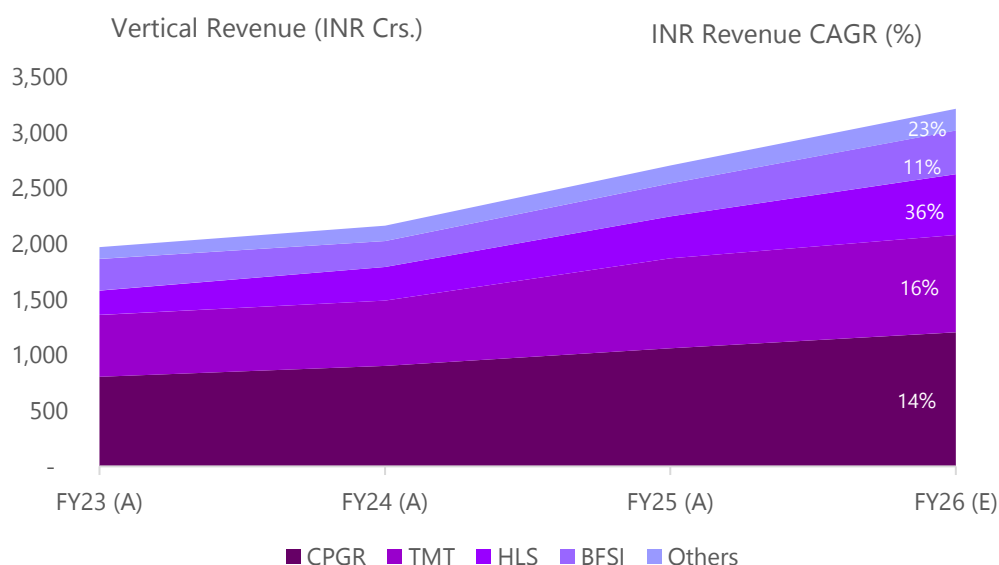
tuberculosis workflows, comprehensive offerings across the lung cancer workflow and AI-augmented hub and spoke stroke care workflow. Doctors use Qure.ai to identify medical conditions fast and prioritize treatment planning.

Currently, Fractal works with 10 of the top 20 HLS companies globally. Matthew Jason Gennone, who has been associated with Fractal for 8 years, is the chief practice officer – HLS. Prior to joining Fractal, he has been associated with Accenture in their digital strategy domain.

Banking, Financial Services and Insurance: Recent developments in BFSI vertical driving Fractal's offerings are rise in transaction volume and rapid digitization of customer information, macroeconomic conditions and recessionary pressures and proliferation of advanced technology. Digital banking has led to a surge in datasets across multiple payment channels that drives AI and Gen AI use to predict credit scores, manage risks, identify stock price movement trends, deploy virtual agents for wealth management, utilize conversational bots for customer support, and build synthetic datasets.

Currently, Fractal works with 3 of the top 20 TMT companies globally. Natwar Mall, who has been associated with Fractal for 20 years, is the chief practice officer – BFSI. Prior to joining Fractal, he has been associated with Kotak Securities, Infosys and Hindustan Lever.

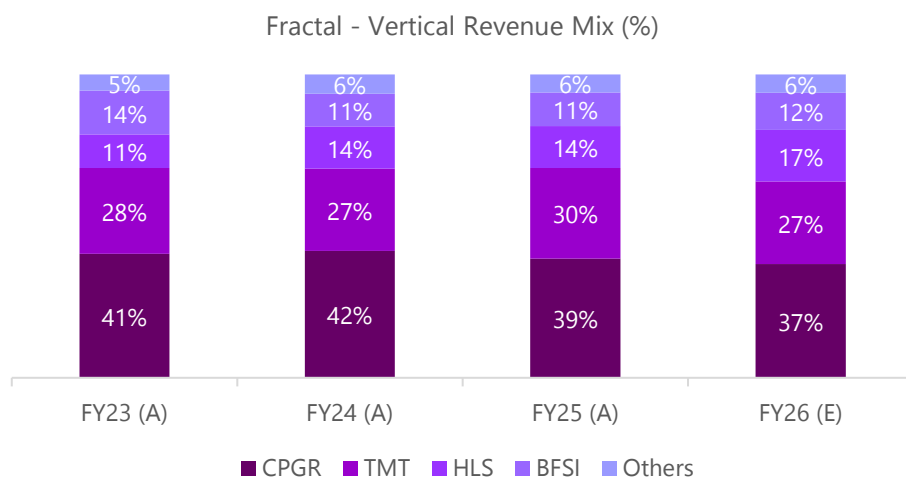
Exhibit 1: Revenue growth through focussed verticals



Source: Fractal, Internal Research

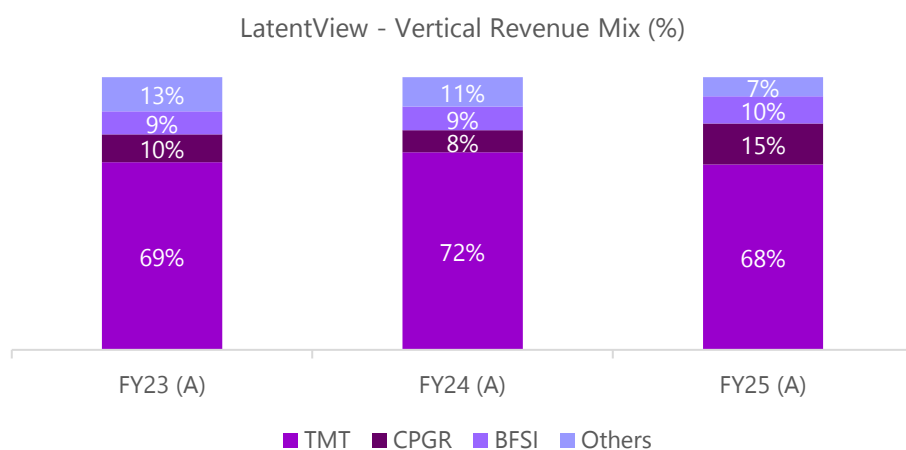
Unlike the Indian DAAI peer, Latent View (68% exposure to TMT), absence of an anchor vertical protects Fractal from sectoral headwinds. Revenue pipelines outside of USA is higher for Fractal compared to global peers (Latent View – 90%, Palantir – 74%, C3AI – 89%). Such a vertical and geographical diversification provides a risk mitigation to the prevailing geo-political tensions and slower economic growth.

Exhibit 2: Broad based revenue pipeline



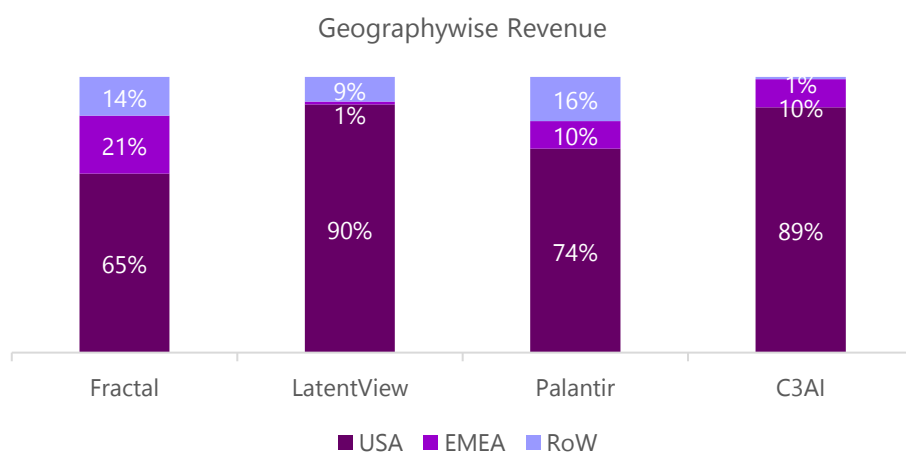
Source: Fractal, Internal Research

Exhibit 3: LatentView anchored to TMT vertical



Source: LatentView, Internal Research

Exhibit 4: Lower revenue dependence on USA compared to Peers



Source: Internal Research

Exhibit 5: HLS growing higher than other verticals

Fractal	FY24 (A)	FY25 (A)	FY26 (E)	CAGR
Revenue YoY USD	9%	23%	5%	12%
Vertical growth YoY USD				
Consumer Packaged Goods & Retail	11%	15%	-3%	7%
Technology, Media and Telecom	4%	35%	-8%	9%
Healthcare and Life Sciences	36%	21%	24%	27%
Banking, Financial Services and Insurance	-19%	25%	12%	4%
Others	29%	15%	3%	15%

Source: Fractal, Internal Research

Exhibit 6: Fractal grows faster than the Indian peer

Revenue Growth	FY20 / CY20	FY21 / CY21	FY22 / CY22	FY23 / CY23	FY24 / CY24	FY25 / CY25	CAGR
Revenue (USD Mn)							
Fractal	102	119	171	241	263	324	-
LatentView	41	42	54	65	77	99	-
Palantir	1,092	1,541	1,905	2,225	2,865	4,475	-
C3AI	156	183	252	266	310	389	-
CC YoY Growth							
Fractal	17%	17%	43%	41%	9%	23%	24%
LatentView	-1%	2%	29%	22%	17%	29%	16%
Palantir	47%	41%	24%	17%	29%	56%	35%
C3AI	71%	17%	38%	6%	17%	25%	27%

Source: Internal Research

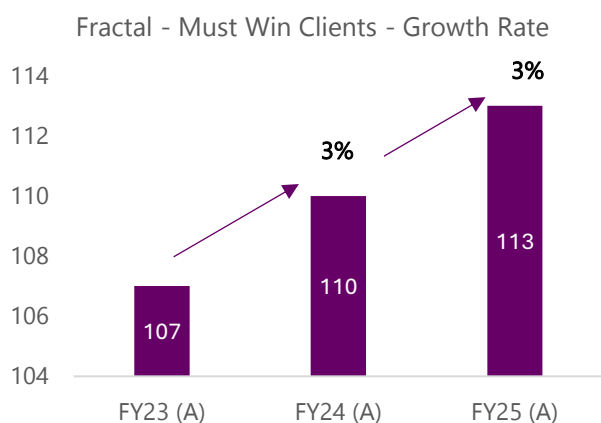
Long Standing and Growing Customer Relationships

Fractal's clients include many Fortune 500 companies. Marquee clients include Citi, Costco, Franklin Templeton, Mars, Mondelez, Nationwide, Nestle, Philips, among others. Fractal has been engaged by a US-based global technology company for over eight years; a US-based multinational CPG corporation for over 19 years; and a global HLS player for over 10 years. The tenure of a customer contract broadly ranges between 2-9 years. Fractal serves majority of the 'magnificent seven' companies.

Fractal underwrites 'user-centric, decision-backwards' approach to identify the business problem and solve them. The decision-backwards aspect contrasts with the traditional data/tech forward approach where solutions are built on the data and technology that is already available. Fractal identifies the problem and then scouts for the required data, algorithms and systems.

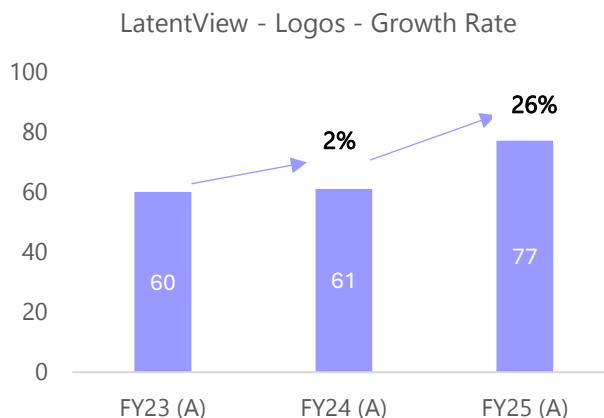
Fractal identifies and shortlists the potential clients for the marketing and on boards clients majorly aligning with the focus verticals. In such framework, Fractal classifies a set of clients as 'Must Win Clients' (MWC), whose revenue, market capitalization and end customers are significantly higher compared to the client peers. Traditionally, more than 80% of revenues were from the MWC. As the DAAI market expands, Fractal is expected to on board majorly non-MWC clients to catch up the market growth.

Exhibit 7: Fractal has a broader client base



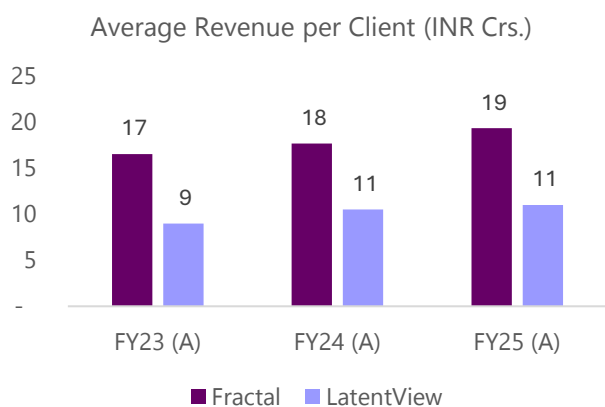
Source: Fractal, Internal Research

Exhibit 8: LatentView has a higher client growth



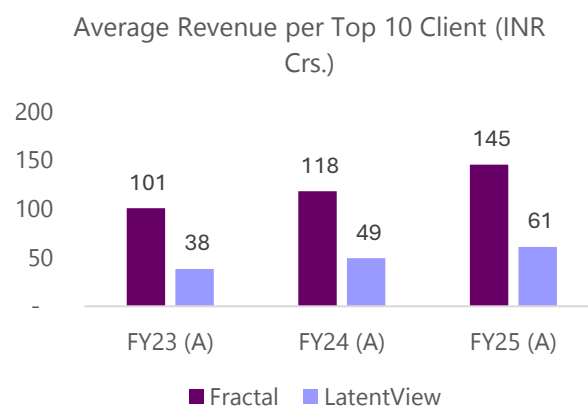
Source: LatentView, Internal Research

Exhibit 9: Fractal has ~72% better monetization



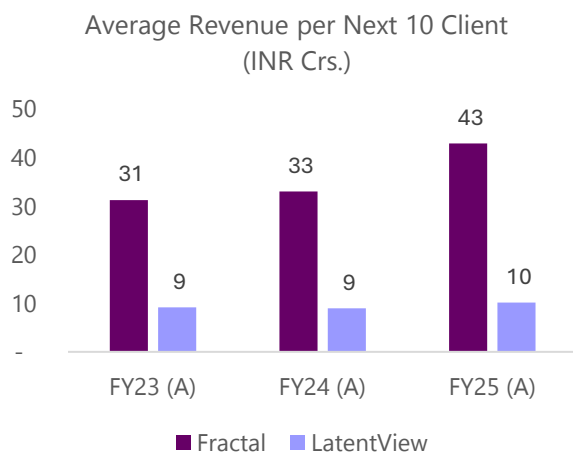
Source: Fractal, LatentView, Internal Research

Exhibit 10: Top 10 Clients to drive the NRR



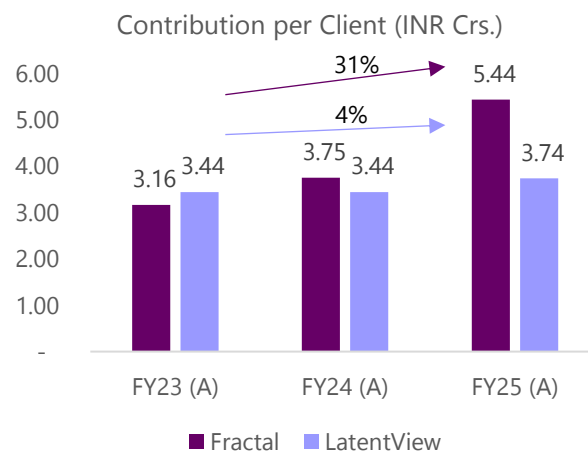
Source: Fractal, LatentView, Internal Research

Exhibit 11: LatentView encashes less from clients



Source: Fractal, LatentView, Internal Research

Exhibit 12: Fractal grows the client contribution

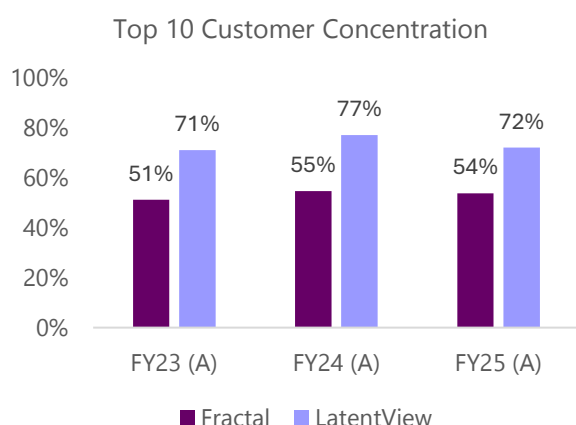


Source: Fractal, LatentView, Internal Research

Fractal demonstrates materially higher monetization per client compared to LatentView, with average revenue per client being ~72% higher (Exhibit 9). This gap widens further within the Top 10 client cohort, where Fractal generates ~INR145 Cr per client versus ~INR61 Cr for LatentView, reflecting a ~137% differential (Exhibit 10). This superior monetization is driven by Fractal's strong presence among Fortune 500 enterprises and deeper integration within client systems. However, Fractal's "Must Win Clients" (MWC) addition has grown at a relatively modest ~3% YoY, lower than LatentView's client addition pace (Exhibit 7). The combination of fewer new MWCs and higher monetization per client results in increased dependence on a select set of large clients, introducing concentration risks and potential constraints during new client onboarding. Despite this, Fractal continues to generate significantly higher contribution per client than LatentView (Exhibit 12), reflecting its focus on depth of engagement. While LatentView emphasizes expanding client logos, Fractal prioritizes maximizing value from existing relationships, with overall client concentration remaining comparatively moderate (Exhibit 13).

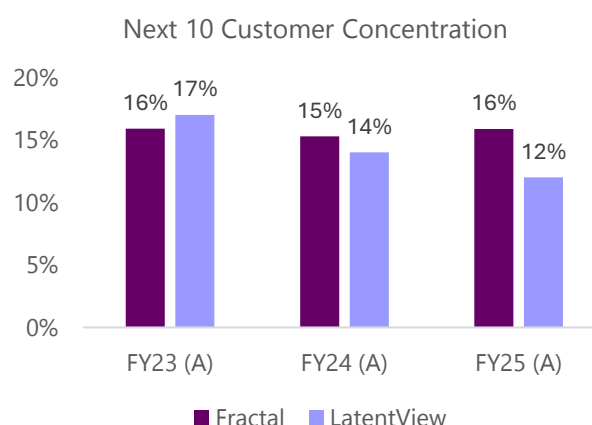
Contribution represents revenue generated after deducting employee-related costs

Exhibit 13: LatentView runs the concentration risk



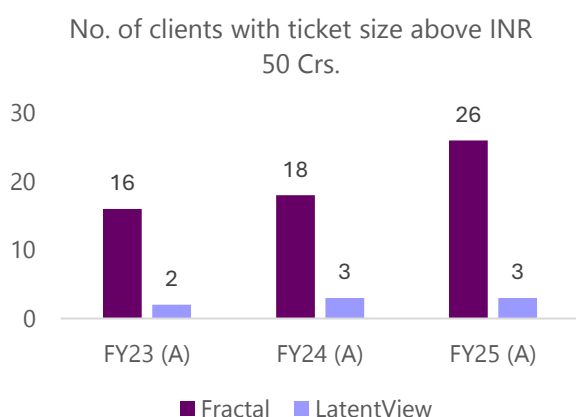
Source: Fractal, LatentView, Internal Research

Exhibit 14: Fractal and LatentView are on par



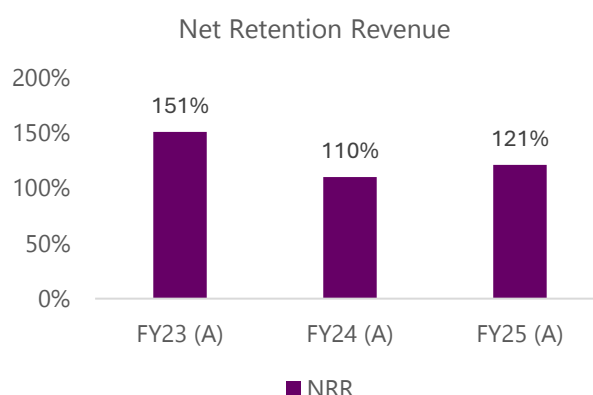
Source: Fractal, LatentView, Internal Research

Exhibit 15: Fractal serves bigger ticket size



Source: Fractal, LatentView, Internal Research

Exhibit 16: Lowering NRR pulls down the CC growth



Source: Fractal, Internal Research

Though there are larger number of big-ticket clients (Exhibit 15), Fractal's scope for cross sell and up sell opportunities have been curtailed in the recent past. The NRR

has dropped from 151% in FY23(A) to 110% in FY24(A) to 121% in FY25(A). This has limited the CC revenue growth rate at 5% in FY25(A) (Exhibit 5).

DAAI Capabilities supporting End-to-end Value Chain

Value Chain	Service Offerings	Growth Drivers
DAAI Strategy	○ Data architecture, infrastructure assessment and consulting. ○ Data management consulting, road mapping, and tool selection advisory. ○ Design research and behavioural architecture advisory. ○ Analytics and AI maturity assessment. ○ AI and Gen AI discovery and pilot development.	○ Rising executive leadership interest in identifying Gen AI use cases and running pilots. ○ The need for domain expertise to apply analytics and AI across verticals. ○ Change management concerns that enterprises face when investing in DAAI initiatives. ○ Increase in AI investments and the need for a tailored vision and roadmap.
Data Foundation	○ Data engineering. ○ Data warehousing, data marts. ○ Data fabric and mesh. ○ Data architecture and design. ○ Data modernization and migration. ○ Data ingestion. ○ Metadata management. ○ Data governance and security. ○ Data exchange and marketplaces.	○ Explosion of data volumes and data types requiring robust management. ○ Increase in real-time data access and large-scale applications. ○ Advances in data storage technologies. ○ Focus on data quality and governance for accurate analytics, AI, and Gen AI.
Analytics & AI (AAI) Foundation	○ Model development & deployment ○ Model testing and validation ○ MLOps and LLMOps. ○ Model integration, fine-tuning, and Retrieval Augmented Generation ○ AI-driven advanced analytics ○ Predictive and prescriptive analytics. ○ Recommendation engines.	○ Rapid evolution of AI and Gen AI technologies and frameworks. ○ Rise of open-source AI models, tools, and collaborative development. ○ Demand for scalable AI models and architectures. ○ The need to develop custom AI and Gen AI solutions tailored to business needs.
AAI Adoption	○ Implementation of analytical and BI tools. ○ Interaction design. ○ Information design. ○ Canned reports. ○ Persona-based dashboards. ○ Data visualization and storytelling. ○ Post-deployment maintenance and support.	○ Demand for integrating AI with existing IT infrastructure. ○ Faster time-to-insights to improve decision-making. ○ User adoption of AI solutions and change management. ○ Growing interest in autonomous AI agents for business automation. ○ The need to operationalize and scale AI solutions for business impact.

Source: Fractal, Internal Research

Fractal delivers end-to-end DAAI service engagements spanning the entire value chain, tailored to each enterprise's requirements and technical maturity. The approach goes beyond model development, emphasizing robust investment in data infrastructure, seamless integration, and intuitive user-facing systems to ensure scalability, reliability, and measurable business impact. Fractal enables new product development through predictive analytics and GenAI for ideation, rapid prototyping, and hyper-personalization. The solutions drive operational efficiency via intelligent automation, reduce costs, and unlock revenue through enhanced customer engagement. Fractal strengthens the risk management and compliance with advanced analytics. Leveraging foundation models, multimodal AI, and self-supervised learning, Fractal expands capabilities, supported by growing data volumes, high-performance compute, lower inference costs, cloud adoption, low-code platforms, and emerging innovations including quantum, neuromorphic computing, and open-source ecosystems to drive sustained, enterprise-wide transformation and competitive advantage.

AI and DAAI adoption, are thus, driving business growth by enabling data-driven decisions, cost efficiency, and innovation. Fractal, with its strong vertical focus, comprehensive capability offerings, and extensive presence across the value chain, is well positioned to effectively support emerging AI integration and deployment opportunities.

Exhibit 17: Fractal's DAAI Capabilities compared with global peers

Capability	Fractal	Product Focused		Service Focused					
		Palantir	C3AI	LatentView	Artefact	Quantiphi	Quantum	Tiger Analytics	Tredence
DAAI as a core offering	✓	✓	✓	✓	✓	✓	✓	✓	✓
AI services and solutions									
AI software	11	4	23	10	1	4	10	3	6
Gen AI Software	7	-	6	3	-	3	-	1	-
Gen AI Foundation Model	4	-	-	-	-	-	-	-	-
DAAI patents per 1000 employees	20	85	91	Nil	N/A	6	N/A	Nil	N/A
Net Promoter Score (NPS)	77	N/A	N/A	41	N/A	N/A	N/A	N/A	N/A
Glassdoor culture and value rating	4.4	3.3	3.1	4.0	4.2	3.7	3.8	4.0	4.0
R&D as a % of Revenue	5.20%	17.70%	58.20%	N/A	N/A	N/A	N/A	N/A	N/A

Source: Everest Research

Coverage of Capabilities

High

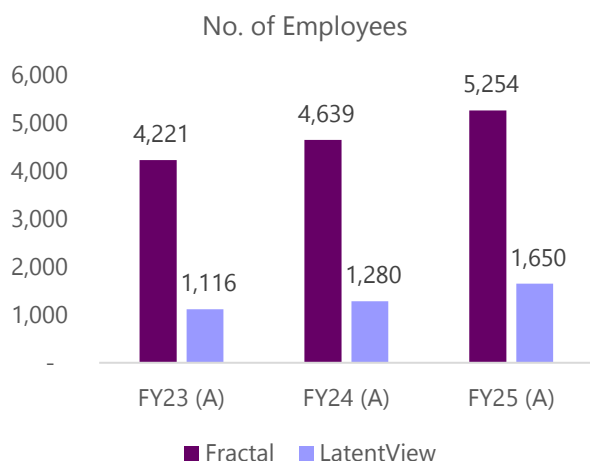
Medium

Low

Enabling teams to unlock AI Revenue

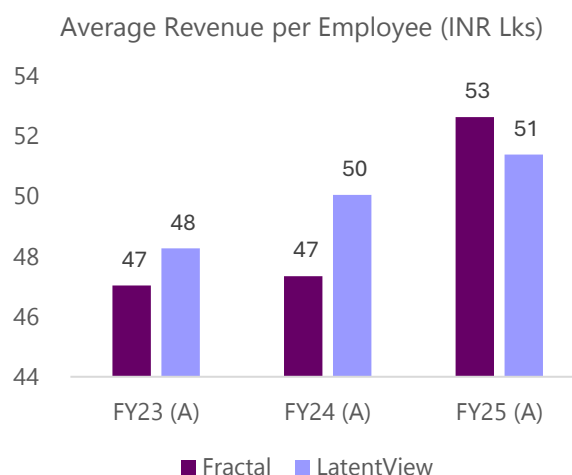
Fractal strengthens its capabilities by scaling its workforce and investing in ongoing upskilling and reskilling initiatives. Talent acquisition is driven through multiple scalable channels, including Iqigai.ai — the proprietary AI-powered hiring assessment platform—alongside the Imagineer Program for campus recruitment, lateral hiring, and ReBoot, the return-ship program for professionals re-entering the workforce. During H1FY26 Fractal onboarded 964 employees from 79,629 applications, reflecting a selection rate of approximately 1.2%. Strong organizational culture is further demonstrated by the fact that 23.5% of lateral hires during this period were sourced through employee referrals. Fractal enhances its employee's technical and business skills through - Fractal certified programs, external learning partnerships and internal learning programs through Fractal Analytics Academy. Engagement and retention initiatives include ESOP grants, wherein, 4,960 current employees (>90% of total employees) have been granted ESOPs.

Exhibit 18: Bandwidth to reflect Revenue growth



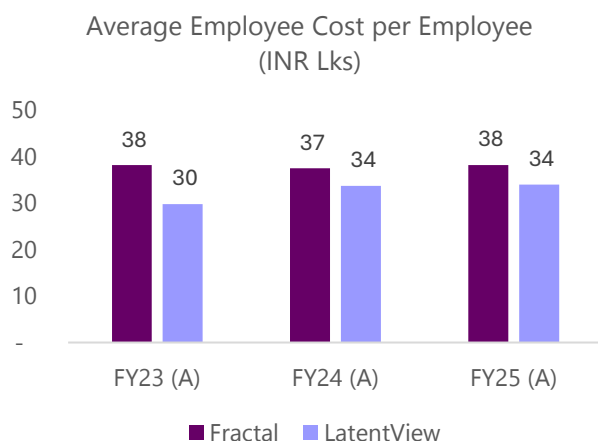
Source: Fractal, Internal Research

Exhibit 19: Monetization in line with Indian peer



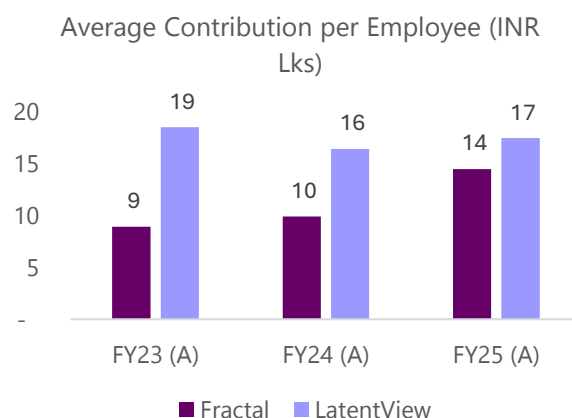
Source: Fractal, Internal Research

Exhibit 20: Fractal has been the better pay-master



Source: Fractal, Internal Research

Exhibit 21: Fractal generates lower contribution



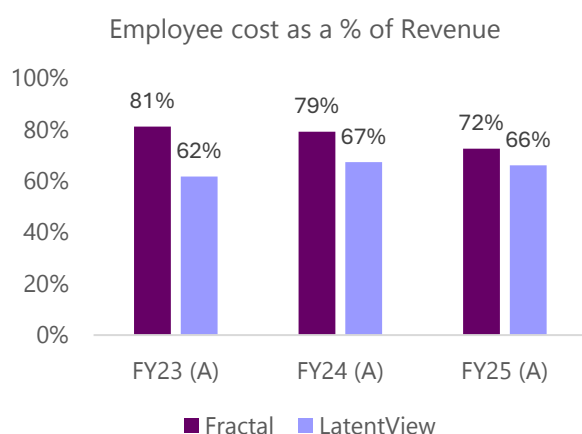
Source: Fractal, Internal Research

Fractal's operating metrics reflect a calibrated approach toward growth, capability development, and long-term value creation. As illustrated in Exhibit 19, the Company's average revenue per employee has remained broadly in line with its Indian peer, LatentView, over the years, indicating comparable monetization efficiency. Headcount expansion has also closely tracked revenue growth, underscoring a disciplined and demand-aligned scaling strategy. In FY25(A), revenue per employee witnessed an improvement, primarily driven by enhanced employee utilization.

At the same time, average employee cost per employee remains higher than that of the peer (Exhibit 20). This is attributable to Fractal's continued investments in strengthening its DAAI capabilities, including R&D expenditure, retention-focused compensation strategies, and the impact of hiring undertaken in earlier periods that initially operated at sub-optimal utilization levels.

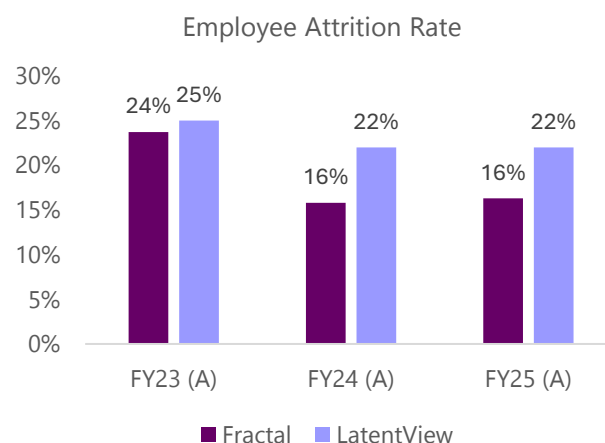
As a result, contribution per employee has been relatively lower compared to peers (Exhibit 21). However, as utilization levels continue to improve and prior investments begin to scale effectively, the Company is well-positioned to realize operating leverage. This is expected to drive a gradual improvement in contribution margins, bringing them closer in line with industry benchmarks over time.

Exhibit 22: Lower utilization spikes talent costs



Source: Fractal, Internal Research

Exhibit 23: Better compensation retains talent



Source: Fractal, Internal Research

As illustrated in Exhibit 22, Fractal's higher employee costs in FY23(A), followed by a gradual decline, reflect prior hiring and improving utilization levels over time. As scaling benefits materialize and the Company strengthens its leadership in the Indian DAAI market, this cost differential with the Indian peer is expected to narrow down. Additionally, higher-than-market compensation and ESOP-led incentives have supported lower attrition (Exhibit 23), positioning Fractal with a stable talent base to capitalize on the upcoming AI services and implementation cycle.

Unified Agentic AI platform enabling enterprise scale

Fractal’s platform ecosystem is anchored around Cogentiq, its flagship agentic AI platform, which provides a unified foundation for building, deploying, and scaling enterprise AI solutions. Cogentiq integrates data sources, tools, and intelligent agents into a cohesive architecture, enabling enterprises to transition from fragmented analytics workflows to autonomous, decision-driven systems. Its modular design—comprising tool marketplaces, agent orchestration, and multi-agent suites—allows organizations to rapidly develop customized AI applications across business functions, significantly reducing time-to-value while ensuring scalability and governance.

Built on this core, Fractal has developed a suite of specialized platforms targeting key enterprise use cases. These include Cogentiq Business Insights for conversational decision intelligence, Cogentiq CX for customer interaction and contact center optimization, Campaign Assist for hyper-personalized marketing, Sales Assist for relationship-driven sales enablement, and Digital Commerce for e-commerce optimization. Each platform leverages a multi-agent architecture to deliver domain-specific intelligence, combining data processing, predictive analytics, and real-time decision making to enhance business outcomes across industries.

Complementing these capabilities is the Cogentiq Data Foundation, which underpins the platform ecosystem by enabling robust data integration, quality management, and harmonization. Additionally, innovations such as Kalaído.ai extend Fractal’s capabilities into generative AI, supporting creative and multimodal applications. Together, these platforms represent a shift from bespoke, service-led engagements to scalable, productized solutions, positioning Fractal to deliver repeatable, high-impact AI use cases across the enterprise value chain.

Exhibit 24: Mapping Fractal’s Platform Ecosystem to Scalable Enterprise AI Use Cases

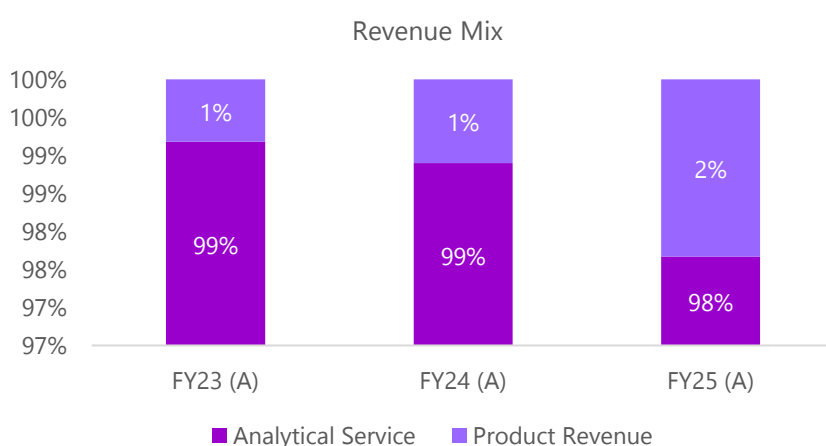
Platform	Aspects	Use Case
Cogentiq (Core Platform)	Agentic AI platform with workflow builder, data connectors, reusable agents, governance	End-to-end enterprise AI deployment including product analytics, campaign performance tracking, and decision automation (e.g., tech conglomerate product + marketing analytics use case)
Cogentiq Business Insights	Conversational decision intelligence, narrative generation, structured data analysis	Real-time dashboards, product lifecycle analytics, and marketing performance insights for business users (e.g., payments app analytics and campaign tracking)
Cogentiq CX	Contact center AI, smart search, virtual assistants, call insights	GenAI-powered website search, customer interaction optimization, and call center automation (e.g., BFSI smart search and conversational banking experience)
Cogentiq Campaign Assist	Audience segmentation, content generation, intent detection, campaign optimization	Personalized marketing, targeted outreach, and campaign ROI optimization (e.g., retail targeted interactions, purchase cadence, lead scoring models)

Platform	Aspects	Use Case
Cogentiq Sales Assist	Next-best-action, CRM integration, multi-agent orchestration, client intelligence	Sales enablement, lead prioritization, meeting preparation, cross-sell/up-sell recommendations (e.g., healthcare B2B sales strategy, advisor personalization, lead targeting)
Cogentiq Digital Commerce	Digital shelf analytics, pricing optimization, content automation, retail media optimization	E-commerce growth optimization, product recommendation, pricing strategy, and digital marketing performance (e.g., retail analytics and product recommendation engines)
Cogentiq Data Foundation	Data integration, quality, harmonization, observability, metadata management	Enterprise data platforms, customer 360, segmentation, and ML-ready data pipelines (e.g., healthcare segmentation, enterprise data warehouse, customer analytics foundations)
Kalaído.ai	Generative AI (text-to-image), diffusion models, multimodal AI	Creative generation for marketing content, personalization assets, and campaign creatives (future extension of marketing use cases)

Source: Fractal, Internal Research

As illustrated in Exhibit 25, Fractal's platform-led revenue currently remains nascent, contributing less than 3% of total revenue, with the business continuing to be largely driven by analytical services. This reflects the early stage of commercialization and monetization of its platform ecosystem, including Cogentiq and associated solutions, despite sustained investments in building these capabilities. As the platforms mature, gain wider enterprise adoption, and transition from service-led implementations to scalable, productized solutions, platform revenues are expected to grow steadily. Over time, this shift is likely to enhance revenue mix, improve scalability, and drive higher-margin, recurring revenue streams for the company.

Exhibit 25: Fractal's products are positioned to scale up further



Source: Fractal, Internal Research

Experienced leadership driving scalable AI-led growth

Fractal's management team is characterized by a strong blend of founder leadership, experienced executives, and domain-specialized leaders across functions and verticals. The Company continues to benefit from long-tenured leadership, with key executives, including its founders, having over two decades of association, ensuring strategic continuity and deep industry expertise.

The organizational structure reflects a well-defined leadership across verticals, services, and functions, enabling focused execution and domain-led growth. Senior management oversees key areas such as AI, data, design, transformation, and industry practices, supporting the Company's end-to-end DAAI capabilities.

Exhibit 26: Experienced management with 11 years of average Fractal association

Name	Designation	Joining Year	Years at Fractal
Srikanth Velamakanni	Group CEO	2000	26
Pranay Agrawal	CEO - Fractal USA	2000	26
Ashwath Bhat	CFO	2021	5
Vertical Heads			
Natwar Mall	Chief Transformation Officer & Chief Practice Officer - BFSI	2006	20
Matthew Jason Gennone	Chief Practice Officer - HLS	2018	8
Mrunali Nikunj Majmudar	Chief Practice Officer - CPGR	2015	11
Sankaranarayanan Balasubramanian	Chief Practice Officer - TMT	2006	20
Rasesh Dharendra Shah	Chief Practice Officer - Edtech & FAA	2008	18
Sandeep Dutta	Chief Practice Officer - APAC & Middle East	2016	10
Service Heads			
Ajoy Singh	Chief AI Officer	2012	14
Manish Tiwari	Chief Information Officer	2021	5
Raja Rajeswari Aradhyula	Chief Design Officer	2008	18
Functional Heads			
Somya Agarwal	Company Secretary & Compliance Officer	2018	8
Rohini Aditya Singh	Chief People Officer	2019	7
Biju Joseph Dominic	Chief Evangelist Officer	2023	3
Shubhendra Kanade	Head - Marketing	2023	3
Chetana Kumar	Chief Sustainability Officer	2017	9
Shailendra Pratap Singh	Chief Growth Officer	2021	5
Dylan Neal Dias	Chief Alliances Officer	2023	3
Satish Avadhanam Raman	Chief Strategy Officer	2017	9

Source: Fractal, Internal Research

Fractal's role in the Indian IT Service Space

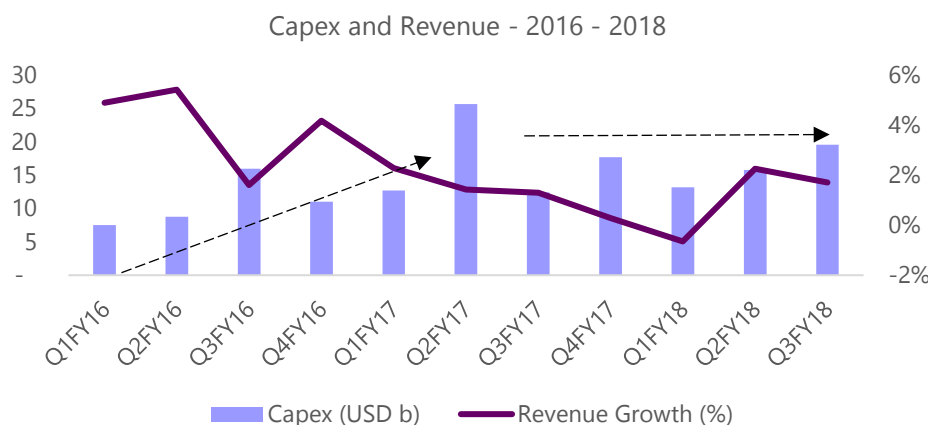
AI Capex surge curtails IT Services growth

Historically, technology transitions such as cloud migration and digital transformation have demonstrated that while initial phases may temporarily moderate revenue growth, they ultimately expand the overall market opportunity for IT services pack over the long term.

Exhibit 27 represents the capex push by platform companies in 2016 and early 2017, which curtailed the enterprise spend on IT services. Once the infrastructure matured for deployment, capex stabilized and IT services gained traction.

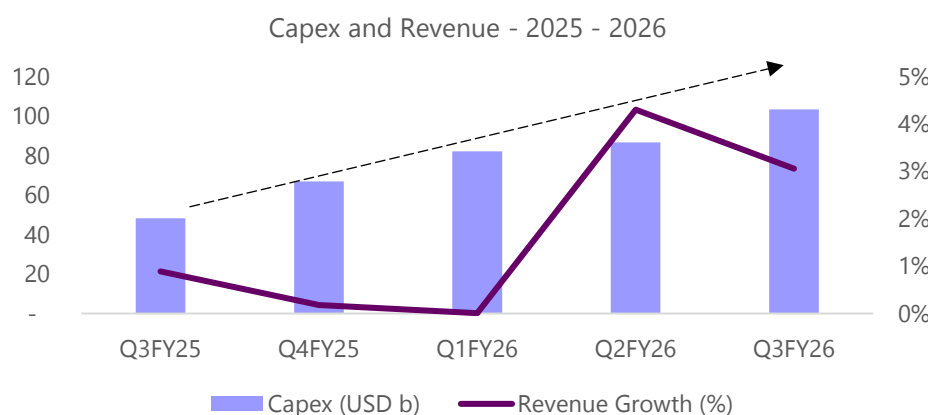
Similar technological shift is underneath that pulls down the IT services revenue from the mid of 2024, on account of AI infrastructure built-up, as shown in Exhibit 28.

Exhibit 27: Services pack revenue growth plummets as platform capex raises and revenues grow as capex stabilize during the cloud migration phase



Source: Internal Research

Exhibit 28: AI infrastructure deployment to curtail services revenue in near term



Source: Internal Research

Platform Capex is the consolidation of Infrastructure spend by Oracle, Alphabet, Amazon and Adobe. Revenue growth is based on consolidated revenue movement of TCS, Infosys, HCL, Tech Mahindra and Wipro.

AI shift redefining Indian IT services hierarchy

The AI cycle in Indian IT is transitioning from an infrastructure-heavy phase to a services-led expansion, with spending gradually shifting from hyperscaler capex toward enterprise AI deployment and integration. In a steady-state scenario (FY27–FY28), enterprise AI spend is likely to split roughly evenly between infrastructure (cloud, chips, storage) and services. Within the services layer, the largest pools emerge in AI-led modernization and integration, followed by data engineering, AI/ML use-case development, and AI operations. This shift is driven by enterprises moving from experimentation to scaled deployment, where integration, modernization, and data readiness become critical bottlenecks.

Within this services pool, large IT services firms such as TCS, Infosys, and HCLTech are structurally positioned to capture the majority share—approximately 35–45% of total AI spend. Their advantage lies in owning the enterprise estate (applications, infrastructure, and vendor relationships), enabling them to lead large, multi-tower AI transformation programs. They dominate high-value areas such as integration-led modernization (20–25%), a significant portion of data engineering, and AI operations. As AI adoption scales, these firms benefit from rising deal sizes and long-duration contracts, effectively positioning themselves as the primary “AI transformation integrators” for enterprises.

In contrast, specialist firms like Fractal and LatentView capture a smaller but strategically important share of the value pool—estimated at 15–20% of total AI spend. Their strength lies in AI/ML use-case development, advanced analytics, and decision intelligence, where value density is significantly higher. As low-value services compress and AI-native services expand, these firms benefit disproportionately from the growth of high-impact, business-facing AI applications. **The resulting industry structure is therefore layered rather than zero-sum: large IT firms capture scale and breadth, while specialists capture depth and high-value intelligence, creating an interdependent ecosystem in the AI-driven services economy.**

Exhibit 29: DAAI to play the long game

Theme	Industry Evolution	Impact on IT Services Pack	Impact on DAAI Pack
AI Infra heavy, services weak (Till CY26 end)	AI spend still going into infra; services demand muted/ deferred; deal flow weak.	Protected by existing annuity (AMS, infra, ERP) and long-term contracts.	More exposed because of discretionary analytics spend pauses first and fewer annuity buffers.
AI moves from pilot scaling (CY27)	Enterprises begin scaling AI; TCV raise in app modernization, data engineering, integration work	Structural win because control the enterprise estate, AI scaling requires - integration across systems, modernization of legacy stack.	They win selectively in specific AI use cases, business-facing analytics, model development, experimentation.
AI in full deployment mode (CY28 onwards)	AI revenues show up strongly, growth accelerates, AI services become mainstream.	Own the platforms, integration layer and managed AI operations. Benefitted from scale, large accounts and cross-selling.	Own the high-value AI problem solving, decision science, domain analytics and last-mile intelligence.

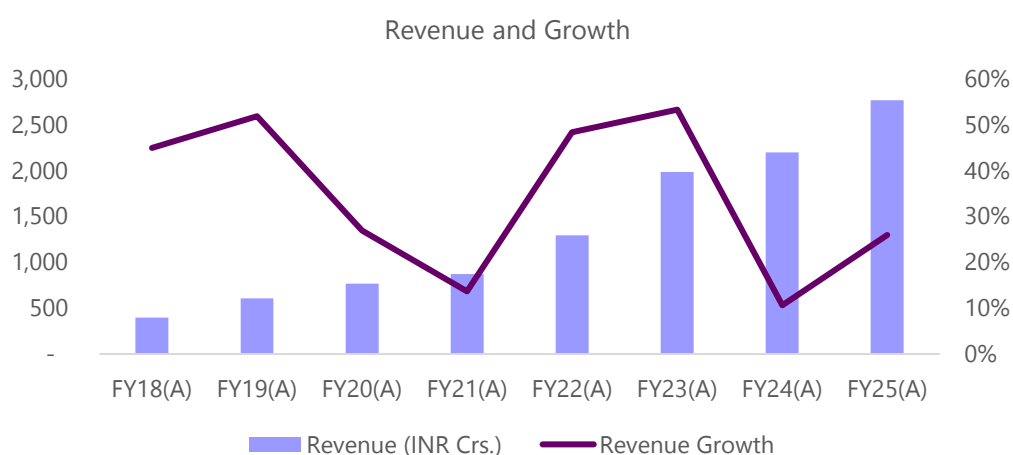
Source: Internal Research

Major Gainer

Financial Analysis

Fractal's revenue has demonstrated strong growth over FY18–FY25, reaching approximately INR28 b in FY25. Fractal has delivered a CAGR of 33% over this period, reflecting sustained momentum despite periods of moderation in growth rates. Revenue expansion has been supported by broad-based demand across industry verticals, driven by increasing enterprise adoption of AI, analytics, and data-led transformation initiatives, positioning Fractal well for continued scalable growth.

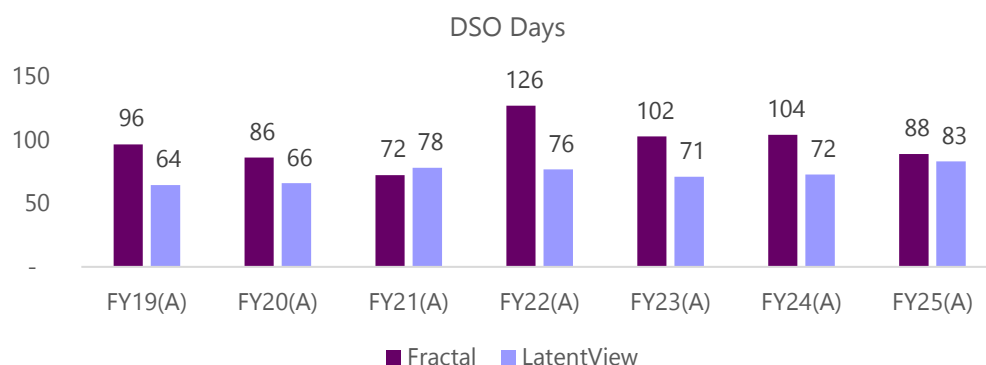
Exhibit 30: Fractal's revenue expanded at an exceptional 33%



Source: Private Circle, Fractal, Internal Research

Fractal's DSO has historically been higher than LatentView, reflecting its client mix and deal structures. The spike in FY22 was driven by increased client cohort additions and larger deal sizes. Subsequently, as revenue growth moderated, DSO levels have improved and are gradually converging towards peer benchmarks, indicating better working capital efficiency.

Exhibit 31: Earlier higher DSO days is stabilizing to the peer benchmark

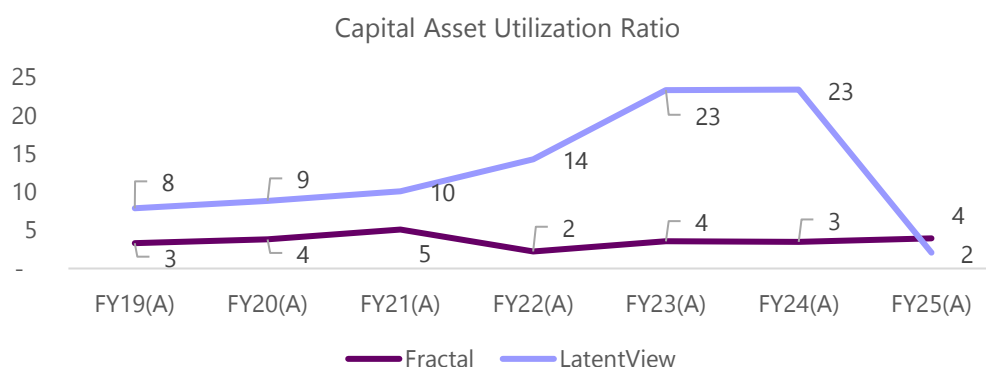


Source: Private Circle, Fractal, Internal Research

Fractal's capital asset utilization ratio has remained sub-5x post FY21, largely reflecting acquisitions of platform-led businesses with relatively lower revenue contribution. These investments, while strategic, have temporarily diluted asset efficiency. In contrast, LatentView's higher ratio has been supported by organic

growth. However, its first acquisition in FY25 has led to a moderation in asset utilization, indicating a similar transition phase.

Exhibit 32: Acquisition-led expansion yet to yield asset efficiency

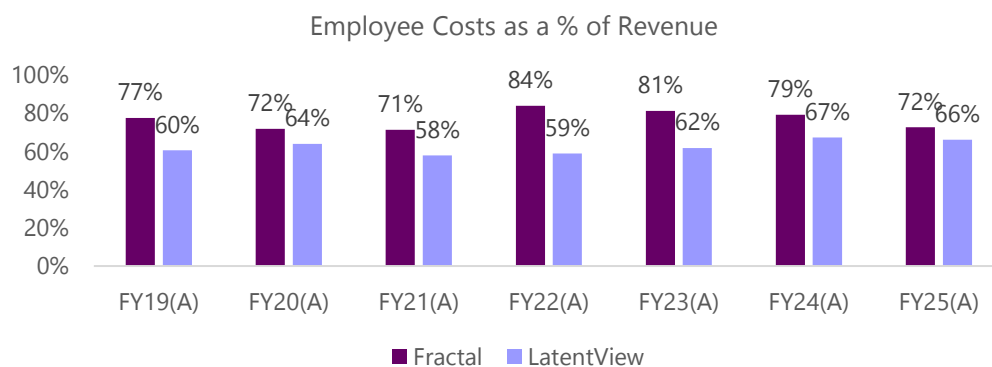


Source: Private Circle, Fractal, Internal Research

Fractal's employee costs have historically remained elevated relative to peers, reflecting its positioning as a specialized AI and analytics player. While costs were relatively stable prior to FY21, a sharp increase in FY22 was driven by aggressive hiring, investments in capability building, and lower utilization of newly onboarded talent. This elevated cost base persisted into FY23, impacting overall operating efficiency. However, from FY23 onwards, employee costs have gradually moderated, supported by improving utilization and scale benefits. The Company is now trending back toward its historical range of ~70%. In comparison, LatentView's employee costs, though higher than traditional IT services firms, have remained relatively stable and consistently below 70%.

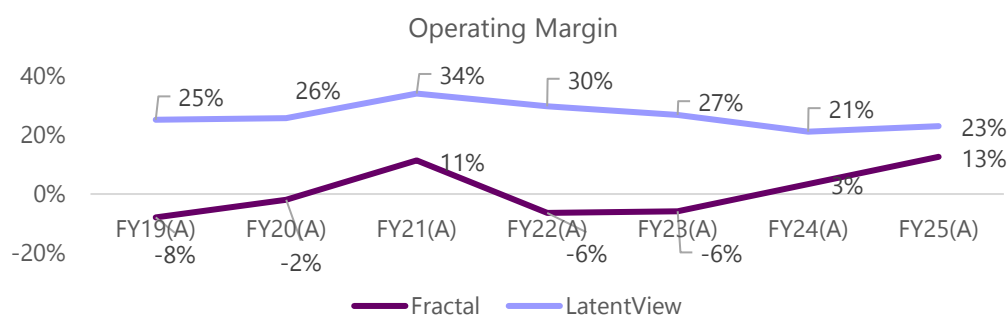
Fractal's operating margins were subdued prior to FY21, primarily due to higher operating expenses beyond employee costs. Margins improved in FY21 but declined sharply in FY22 and FY23, largely driven by elevated employee costs following the hiring surge. As these costs normalize and utilization improves, margins have shown a recovery from FY24 onwards. This trajectory indicates a gradual return to sustainable profitability, supported by operating leverage and improved cost efficiencies over time.

Exhibit 33: Employee cost dynamics reflect Investment cycle



Source: Private Circle, Fractal, Internal Research

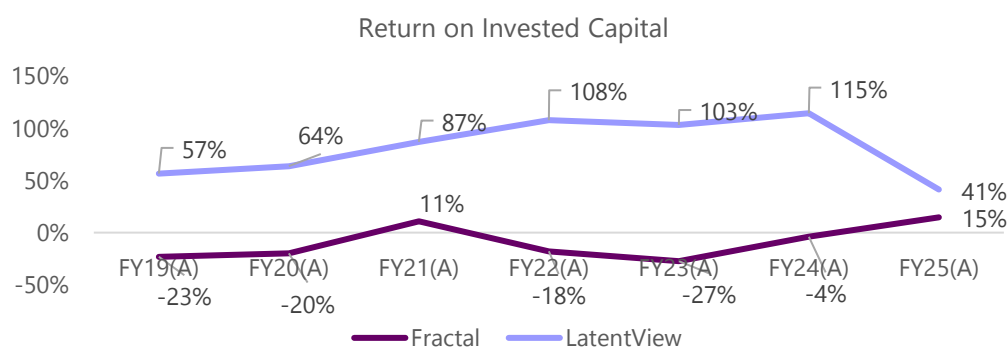
Exhibit 34: Operating Margins Impacted by Cost Normalization Cycle



Source: Private Circle, Fractal, Internal Research

LatentView demonstrates superior capital conversion efficiency, consistently delivering strong returns on invested capital. In contrast, Fractal has faced challenges in translating investments into returns, reflecting inefficiencies in customer-level contribution and capital deployment. While recent improvement is visible, sustained enhancement in monetization and operating discipline remains critical for Fractal to close the gap.

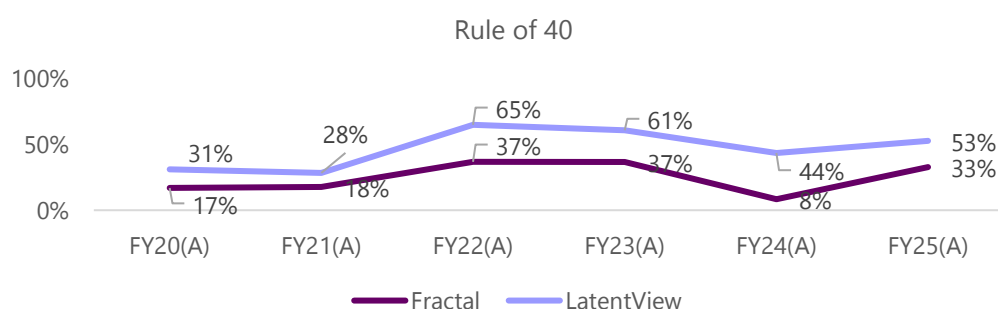
Exhibit 35: Capital Efficiency Gap: Fractal vs. LatentView



Source: Private Circle, Fractal, Internal Research

While both Fractal and LatentView operate as services pack, LatentView has consistently delivered Rule of 40 metrics above the 40% threshold in recent years, reflecting superior growth-profitability balance. In contrast, Fractal has remained below this benchmark, indicating relatively weaker operating efficiency despite comparable positioning within the analytics services landscape.

Exhibit 36: LatentView outperforms on Growth–Profitability balance



Source: Private Circle, Fractal, Internal Research

View, Valuation and Risks

AI-led transition driving scalable growth and margin expansion

Fractal's business outlook reflects a structural alignment with the evolving AI adoption cycle, positioning the Company for sustained medium-term growth. Revenues are projected to grow at a CAGR of ~16% over FY25–FY29, supported by increasing enterprise demand for AI-led modernization, data engineering, and scalable deployment of AI/ML use cases. As enterprise spending transitions from infrastructure build-out toward services-led implementation, Fractal is well placed to benefit given its strong positioning in high-value analytics, decision intelligence, and domain-led AI solutions.

In the near term, the industry is witnessing an enterprise integration phase, where organizations are embedding AI into existing systems. This is expected to drive higher cloud, infrastructure, and maintenance-related costs, leading to temporary pressure on margins. Additionally, employee costs—historically elevated due to investments in talent and capability building—are expected to stabilize at ~70% of revenue over the medium term, driven by improving utilization and operating leverage. Consequently, EBIT margins may remain compressed in the short term but are expected to expand as scaling benefits materialize. This transition toward enterprise-wide AI deployment and monetization is likely to drive EBIT growth at a CAGR of ~28%, reflecting improved cost efficiencies and operating discipline.

From a capital efficiency standpoint, Fractal has historically lagged peers in return on invested capital, largely due to acquisition-led expansion into platform businesses with lower initial monetization. However, as these platforms scale and utilization improves, return ratios are expected to recover. The Company's diversified vertical exposure across CPGR, TMT, HLS, and BFSI, along with a geographically balanced revenue mix beyond the US, provides resilience against sectoral and regional volatility.

Fractal's strong client relationships, with engagements spanning 2–9 years and deep penetration within Fortune 500 clients, support stable revenue visibility. The Company's focus on "must win clients" and higher monetization per client underscores its strategy of depth over breadth, albeit with some concentration risks. Its end-to-end DAAI capabilities—spanning strategy, data foundation, AI/ML development, and adoption—position it well to capture emerging AI opportunities across the value chain.

Finally, Fractal benefits from an experienced management team with long-tenured leadership, ensuring strategic continuity and execution discipline. Coupled with continued investments in platforms such as Cogentiq and strong talent retention initiatives, the Company is well positioned to transition from a service-led model to a more scalable, platform-augmented growth trajectory, driving long-term value creation.

Valuation

Fractal is currently trading at a trailing P/E of 65.1x, reflecting premium valuation driven by its strong positioning in the high-growth AI and analytics space. While these multiples appear elevated relative to traditional IT services peers, they are supported by the Company's superior growth trajectory and expanding role in the evolving AI services value chain. Based on FY29(E) EPS of 27.3, the implied earnings growth underpins valuation comfort over the medium term.

At the current market price of INR 795, the stock offers a potential upside of ~99% with a FY29(E) P/E of 57.7x, to the target price of INR 1,578. This upside is driven by anticipated revenue acceleration, margin expansion as employee costs normalizes, and improved capital efficiency as platform investments begin to scale. Overall, valuations remain justified given Fractal's positioning in a structurally expanding AI-led services market.

Valuation Rationale

Fractal's valuation is derived using a forward price-to-sales (P/S) framework, benchmarked against a relevant peer set comprising LatentView, C3.ai, and Faculty AI. Given the Company's positioning in the high-growth AI and analytics services segment, P/S is considered an appropriate metric, as it captures revenue scalability and growth potential more effectively than earnings-based multiples during investment phases.

The valuation applies an average PSG (Price-to-Sales-to-Growth) multiple of 0.35x to Fractal's forward revenue growth estimate of ~16%, resulting in an implied forward P/S multiple of ~5.5x. This multiple is then applied to the projected FY29(E) forward revenue base of INR49 b, deriving an equity value of approximately INR272 b.

Based on this valuation, the implied target price stands at INR 1,578 per share, compared to the current market price of INR 795, indicating an upside potential of ~99%. The premium valuation is supported by Fractal's strong growth outlook, differentiated AI capabilities, and increasing platform-led monetization. As the Company transitions toward scalable, higher-margin offerings and improves capital efficiency, the assigned multiple is expected to remain sustainable over the medium term.

Risks

- **Execution risk in AI-led transition:** Fractal's growth outlook depends on successful transition from service-led delivery to scalable, platform-augmented solutions. Any delay in enterprise AI adoption or execution challenges could impact growth trajectory.
- **Platform monetization risk:** Platform revenues currently contribute <3% of total revenue. Slower-than-expected adoption of Cogentiq and related offerings may delay margin expansion and recurring revenue visibility.
- **Margin pressure from cost structure:** Elevated employee costs and near-term increase in cloud and infrastructure expenses during the AI integration phase may continue to weigh on margins.

- **Client concentration and NRR decline:** High dependence on large “must win clients” and moderation in NRR may constrain near-term growth and increase revenue concentration risk.
- **Capital efficiency concerns:** Historical underperformance in ROIC reflects challenges in monetizing acquisition-led investments, particularly in platform businesses.
- **Competitive intensity:** Large IT services firms dominate integration-led AI opportunities, while analytics-focused peers compete in high-value use cases, limiting share gains.
- **Lower R&D intensity vs product peers:** Fractal’s R&D spend (~5% of revenue) is significantly lower than product-led peers such as Palantir (~15%) and C3.ai (~60%), potentially impacting long-term platform competitiveness.
- **Talent cost inflation risk:** Continued demand for high-quality AI talent may sustain elevated compensation levels, impacting profitability.
- **Pricing model transition risk:** Shift toward outcome-based pricing models may reduce revenue visibility and introduce variability in earnings realization.
- **AI adoption cycle risk:** Prolonged infrastructure-heavy spending cycles may defer enterprise services demand, impacting near-term growth.
- **Cybersecurity risk:** Past ransomware incidents have led to certain potential clients withdrawing from engagements, highlighting reputational sensitivity. Any recurrence of such events could similarly impact client trust, delay new client acquisition, and affect overall business momentum.

About Fractal

Fractal Analytics is a global provider of artificial intelligence, data and analytics solutions, with over two decades of operating history. Founded in 2000, the Company has evolved from a pure-play analytics firm into a full-stack AI-led enterprise transformation partner. Its offerings span the entire DAAI (Data, Analytics and AI) value chain, including strategy, data engineering, model development and enterprise-wide deployment. Fractal operates through a diversified industry presence across Consumer Packaged Goods & Retail (CPGR), Technology, Media & Telecom (TMT), Healthcare & Life Sciences (HLS), and Banking, Financial Services & Insurance (BFSI), enabling it to deliver domain-specific, high-impact solutions to global enterprises.

The Company's client base includes several Fortune 500 organizations, with long-standing relationships often spanning multiple years. Fractal follows a "decision-backwards" approach, focusing on solving business problems through tailored AI and analytics interventions rather than purely technology-led implementations. Its deep integration within client systems has enabled higher monetization per client and larger deal sizes, particularly among its 'must win clients'. Additionally, Fractal maintains a geographically diversified revenue base, with a significant presence beyond the United States, providing resilience against regional economic fluctuations.

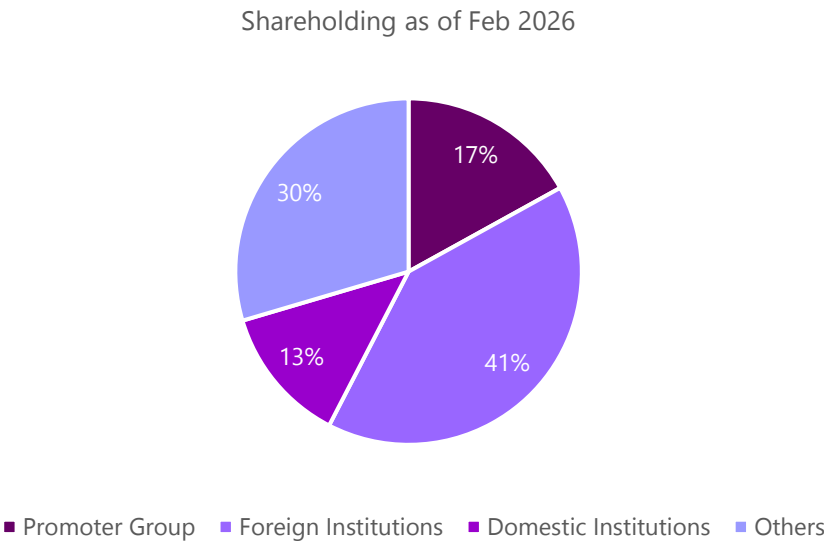
Fractal is also investing in building scalable, platform-led capabilities to complement its services business. Its flagship platform, Cogentiq, along with a suite of specialized solutions, reflects a strategic shift toward productization and repeatable AI use cases. Supported by a long-tenured management team and continued investments in talent, R&D, and proprietary capabilities, Fractal is well positioned to capitalize on the growing adoption of AI and data-driven transformation across industries.

Exhibit 37: Key Milestones

Period	Events
2000	Fractal Analytics incorporated in Mumbai with a focus on enabling businesses through AI and advanced analytics.
Pre-2010	Developed intellectual property (IP); built presence in BFSI and CPG industries; expanded into the US market.
2010–2015	Entered retail industry and expanded into the UK; scaled to 500+ employees; established "Fractal Sciences"; initiated incubation of AI products and software solutions.
2016–2020	Expanded into HLS and TMT industries; entered Canada, Germany, Netherlands, and Ukraine; acquired 4i (analytics) and Final Mile (behavioural sciences); established Fractal Alpha for incubating AI products.
2021–2022	Expanded into Australia and UAE; completed strategic acquisitions (including Asper.ai and Senseforth.ai); invested in Analytics Vidhya; strengthened Responsible AI practice
2023 onwards	Developed proprietary GenAI stack and foundation models; launched Cogentiq (agentic AI platform); introduced multiple GenAI products (e.g., Kalaido.ai, Vaidya.ai); expanded into public domain AI offerings.

Source: Fractal, Internal Research

Exhibit 38: Shareholding Pattern



Source: Fractal, Internal Research

About the Promoters

Srikanth Velamakanni is the co-founder of Fractal and serves as its Whole-time Director, Group Chief Executive and Executive Vice-Chairman. He has been associated with the Company since its incorporation in March 2000, making him central to Fractal’s strategic evolution from an analytics-led firm into a broader AI, data and decision intelligence company. He is responsible for strengthening client partnerships, driving overall revenue growth, and increasing the visibility and scalability of the Fractal franchise. Academically, he holds a bachelor’s degree in electrical engineering from IIT Delhi and a post-graduate diploma in management from IIM Ahmedabad. From the standpoint of Fractal, his most relevant strength is long-duration operating continuity: he combines founder-level ownership with over 25 years of experience in the technology sector and deep familiarity with enterprise clients, vertical expansion, and capability building. He also serves on boards outside Fractal, reflecting broader ecosystem relevance and strategic visibility.

Pranay Agrawal is a co-founder of Fractal and currently serves as a Non-executive Director of the Company, while also leading Fractal USA as Chief Executive Officer. He has been associated with Fractal since March 2000 and remains one of the key promoter figures shaping its global business trajectory. Within the Fractal context, his role is especially important because of the Company’s large international exposure and its deep relationships with global enterprises. He is responsible for strengthening client partnerships, supporting revenue growth, and enhancing the visibility and scalability of the Fractal platform and services franchise. He holds a bachelor’s degree in commerce from Bangalore University and a post-graduate diploma in management from IIM Ahmedabad. With over 25 years of experience in the technology sector, his contribution is most relevant in institutionalizing Fractal’s overseas operations, particularly in the U.S., and in helping scale the business with a client-centric, enterprise-facing approach anchored in long-term relationships and monetization depth.

Financial Summary

Exhibit 39: Profit and Loss Statement

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)
Revenue	1,985	2,196	2,765	3,212	3,564	4,197	4,977
Employee Costs	1,609	1,737	2,005	2,317	2,558	2,998	3,538
Other Operating Costs	493	386	411	430	504	565	603
EBITDA	-116	73	350	465	501	634	836
EBITDA %	-6%	3%	13%	14%	14%	15%	17%
Other Income	29	29	21	-13	9	18	29
Depreciation	78	83	102	133	134	142	153
EBIT	-165	20	269	320	375	510	711
EBIT %	-8%	1%	10%	10%	11%	12%	14%
Finance Costs	45	45	58	67	71	76	80
Tax	119	24	17	64	77	109	159
Adjusted PAT	-330	-49	194	189	228	325	472
Adjusted PAT %	-17%	-2%	7%	6%	6%	8%	9%

Source: Fractal, Internal Research

Exhibit 40: Balance Sheet

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)
Equity	1,363	1,420	1,765	2,980	3,207	3,532	4,005
Borrowings	377	363	429	459	489	519	549
Source of Funds	1,741	1,783	2,194	3,439	3,696	4,051	4,554
Tangible Non Current Assets	88	139	192	206	229	260	299
Intangible Non Current Assets	471	493	509	487	490	512	549
Investments in Associates	448	426	426	357	304	254	209
Current Assets	1,242	1,334	1,731	3,070	3,413	3,857	4,434
Bank & Liquid Investments	539	559	875	2,009	2,247	2,509	2,867
Trade Receivables	501	533	585	792	879	1,035	1,227
Unbilled Revenue	56	90	85	88	98	115	136
Prepaid Expenses	38	40	58	52	61	70	75
Other Assets	108	112	129	129	129	129	129
Current Liabilities	508	609	663	681	739	832	938
Trade Payables	57	51	62	65	76	87	93
Employee Related Liabilities	197	245	288	293	326	381	448
Unearned Revenue	87	103	122	132	146	172	205
Other Liabilities	168	210	192	192	192	192	192
Net Current Assets	734	725	1,068	2,388	2,673	3,025	3,496
Application of Funds	1,741	1,783	2,194	3,439	3,696	4,051	4,554

Source: Fractal, Internal Research

Exhibit 41: Cashflow Statement

INR Crs.	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)
Cashflow from Operations	-31	160	397	260	470	542	690
PBT	-211	-25	211	253	304	434	631
Depreciation	78	83	102	133	134	142	153
Stock Option Costs	159	96	80	58	83	90	97
Finance Costs	43	45	57	67	71	76	80
Working Capital Changes	-104	5	10	-186	-47	-90	-113
Tax Paid	-21	-32	-56	-64	-77	-109	-159
Other Operating Items	25	-13	-7	-	-	-	-
Cashflow from Investing	125	-150	-181	-114	-190	-235	-282
Fixed Assets	-34	-25	-83	-125	-160	-195	-230
Treasury Operations	129	-134	-83	-	-	-	-
Other Investing Items	30	8	-16	11	-30	-40	-52
Cashflow from Financing	-57	-145	-22	988	-41	-46	-50
Issue of Shares	17	10	50	1,025	-	-	-
Net Borrowings	-35	-115	-41	30	30	30	30
Finance Costs	-43	-45	-57	-67	-71	-76	-80
Other Financing Items	4	4	26	-	-	-	-
Net Cashflow	37	-136	194	1,134	238	262	358

Source: Fractal, Internal Research

Exhibit 42: Key Ratios

Particulars	FY23(A)	FY24(A)	FY25(A)	FY26(E)	FY27(E)	FY28(E)	FY29(E)
Growth (%)							
Revenue	53%	11%	26%	16%	11%	18%	19%
EBITDA	N/A	N/A	377%	33%	8%	26%	32%
Adjusted PAT	N/A	N/A	N/A	-2%	20%	43%	45%
Valuation Ratios (x)							
P/E	N/A	N/A	71.0	72.6	60.3	42.3	29.1
P/CEPS	N/A	N/A	46.4	42.7	37.9	29.4	22.0
P/BV	10.1	9.7	7.8	4.6	4.3	3.9	3.4
EV/ EBITDA	N/A	N/A	40.6	30.5	28.3	22.4	17.0
P/S	6.9	6.3	5.0	4.3	3.9	3.3	2.8
Operating Ratios							
EBITDA Margins	-5.9%	3.3%	12.7%	14.5%	14.1%	15.1%	16.8%
EBIT Margins	-8.3%	0.9%	9.7%	9.9%	10.5%	12.2%	14.3%
Adjusted PAT Margins	-16.6%	-2.2%	7.0%	5.9%	6.4%	7.7%	9.5%
Capital Asset Utilization Ratio (x)	3.55	3.47	3.95	4.63	4.96	5.44	5.86
Receivable Days	92	89	77	90	90	90	90
Unbilled Revenue Days	10	15	11	10	10	10	10
Working Capital Days	21	20	17	25	25	25	25
Profitability Ratios							
ROE	-24%	-3%	11%	6%	7%	9%	12%
ROCE	-7%	4%	16%	14%	14%	16%	18%
ROIC	-27%	-4%	15%	13%	16%	21%	28%

Source: Fractal, Internal Research